



TRANSFER PRICING

Building a defensible multi-country transfer-pricing file

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Transfer pricing has quietly become a multi-country exercise. A position taken in one jurisdiction is increasingly read alongside the group's Master File, its Local Files elsewhere and its Country-by-Country data — which means inconsistency, not aggression, is the most common cause of adjustment.

A defensible file starts with a single, well-evidenced functional analysis. When the FAR is done once, centrally, and then adapted to local requirements, the story the group tells is coherent everywhere. When each jurisdiction builds its own, small differences compound into contradictions.

Benchmarking is the second pillar. Method selection and comparable sets should be documented with the reasoning visible, so a reviewer can follow why a margin sits where it does. Where local databases differ, the approach — not just the output — should reconcile.

Finally, governance. Intercompany agreements, pricing policies and annual updates keep the file alive. A file that is refreshed on a defined calendar, with a clear owner, is worth more than a perfect one prepared once and left to age.

At TAG Group we prepare this centrally from India — one FAR, consistent benchmarking, and jurisdiction-specific adaptation — for groups directly and as the back-end partner for overseas advisers.